You are required to prepare Delta Limited's Balance Sheet as at 31.3.20X2 and Statement of Profit and Loss with notes to accounts for the year ended 31.3.20X2 as per Schedule Ill. Ignore previous year's figures.

Answer

Delta Limited

Balance Sheet as at 31st March 20X2

Particulars			Notes	in ₹ '000
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	495.00
	(b)	Reserves and Surplus	2	807.20
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	300.00
3		**Current liabilities**		
	(a)	Trade Payables		30.00
	(b)	Short term provision	4	163.80
		Total		**1,796.00**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	5	1,550.00
2		**Current assets**		
	(a)	Inventories		96.00
	(b)	Trade receivables	6	120.00
	(c)	Cash and Cash equivalents	7	30.00
		Total		**1,796.00**

Statement of Profit and Loss for the year ended 31st March 20X2

Particulars		Notes	in ₹ '000
I	Revenue from operation		1200.00
II	Other income	8	6.00
III	**Total Income (I + II)**		**1,206.00**
IV	**Expenses**		
	Purchases (Adjusted)		400.00
	Finance costs	9	30.00
	Depreciation and amortisation expense (10% of 800)		80.00
	Other expenses	10	150.00
V	**Total expenses**		**660.00**
VI	**Profit before tax (III – V)**		**546.00**
VII	Tax expense		163.80
VIII	**Profit after tax (VI – VII)**		**382.20**

Notes to Accounts

S. No.	Particulars		₹ in ('000)
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	80,000 shares of ₹ 10 each		800
	Issued & subscribed & called up		
	50,000 shares of ₹ 10 each		500
	(5,000 shares have been issued for consideration other than cash)		
	Less: Calls in arrears		(5)
			495
2	**Reserves and Surplus**		
	Revaluation reserve (960 – 800)		160.00
	General reserve		150.00
	Securities premium		40.00
	Profit & loss Balance:		
	Opening balance	75.00	
	Profit for the period	382.20	457.20
			807.20
3	**Long term borrowings**		
	8% Debentures		**300**
4	**Short-term provision**		
	Provision for tax		**163.80**
5	**Property, Plant and Equipment (PPE)**		
	Land		
	Opening balance	800	
	Add: Revaluation adjustment	160	
	Closing balance		960
	Plant and Machinery		
	Opening balance	824	
	Less: Disposed off	(24)	
		800	
	Less: Depreciation (150 – 20 + 80)	(210)	
	Closing balance		590
			1,550
6	**Trade receivables**		
	Debts outstanding for a period exceeding six months		50
	Other Debts		70
			120
7	**Cash and cash equivalents**		

	Cash at bank		
	with Scheduled Banks	23	
	with others (ABC Bank Limited)	5	28
	Cash in hand		2
	Other bank balances		Nil
			30
8	**Other Income**		
	Profit on sale of machinery:		
	Sale value of machinery		10
	Less: Book value of machinery (24 – 20)		4
			6
9	**Finance costs**		
	Debenture interest		**30**
10	**Other expenses**		
	Factory expenses		80
	Selling expenses		25
	Administrative expenses		45
			150

Question 7

You are required to prepare Balance sheet and statement of Profit and Loss from the following trial balance of Haria Chemicals Ltd. for the year ended 31st March, 20X1.

Haria Chemicals Ltd.

Trial Balance as at 31st March, 20X1

Particulars	**₹**	**Particulars**	**₹**
Inventory	6,80,000	Equity Shares	
Furniture	2,00,000	Capital (Shares of ₹ 10 each)	25,00,000
Discount	40,000	11% Debentures	5,00,000
Loan to Directors (Short term)	80,000	Bank loans	6,45,000
Advertisement	20,000	Trade payables	2,81,000
Bad debts	35,000	Sales	42,68,000
Commission	1,20,000	Rent received	46,000
Materials consumed	23,19,000	Transfer fees	10,000
Plant and Machinery	8,60,000	Profit & Loss account	1,39,000
Rentals	25,000	Depreciation provision:	
Current account	45,000	Machinery	1,46,000
Cash	8,000		
Interest on bank loans	1,16,000		
Preliminary expenses	10,000		

Fixtures	3,00,000		
Wages	9,00,000		
Consumables	84,000		
Freehold land	15,46,000		
Tools & Equipment	2,45,000		
Goodwill	2,65,000		
Trade receivables	4,40,000		
Dealer aids	21,000		
Transit insurance	30,000		
Trade expenses	37,000		
Distribution freight	54,000		
Debenture interest	55,000		
	85,35,000		**85,35,000**

Additional information: Closing Inventory on 31.3.20X1: ₹ 8,23,000.

Answer

Haria Chemicals Ltd.

Balance Sheet as at 31st March, 20X1

Particulars			**Notes**	**₹**
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	25,00,000
	(b)	Reserves and Surplus	2	7,40,000
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	11,45,000
3		**Current liabilities**		
	(a)	Trade Payables		2,81,000
		Total		**46,66,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	4	30,05,000
		ii. Intangible Asset (Goodwill)		2,65,000
2		**Current assets**		
	(a)	Inventories		8,23,000
	(b)	Trade receivables		4,40,000
	(c)	Cash and Cash equivalents	5	53,000
	(d)	Short term loans and advances	6	80,000
		Total		**46,66,000**

Haria Chemicals Ltd.

Statement of Profit and Loss for the year ended 31st March, 20X1

Particulars		Notes	₹
I	Revenue from operation		42,68,000
II	Other income	7	56,000
III	**Total Income (I + II)**		**43,24,000**
IV	**Expenses**		
	Cost of material consumed		23,19,000
	Changes in inventory of Finished goods, WIP, and Stock on trade	8	(1,43,000)
	Employee benefit expenses	9	9,00,000
	Finance costs	10	1,71,000
	Other expenses	11	4,76,000
V	**Total expenses**		**37,23,000**
VI	**Profit before tax (III – V)**		**6,01,000**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**6,01,000**

Notes to Accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	Equity share capital of ₹ 10 each		25,00,000
	Issued & subscribed & called up:		
	Equity share capital of ₹ 10 each		**25,00,000**
2	**Reserves and Surplus**		
	Profit & loss Balance:		
	Opening balance		1,39,000
	Profit for the period		6,01,000
			7,40,000
3	**Long term borrowings**		
	11% Debentures		5,00,000
	Bank loans (assumed long-term)		6,45,000
			11,45,000
4	**Property, Plant and Equipment (PPE)**		
	Freehold land		15,46,000
	Furniture		2,00,000
	Fixtures		3,00,000
	Plant & Machinery	8,60,000	
	Less: Depreciation	1,46,000	7,14,000
	Tools & Equipment		2,45,000
			30,05,000

5	**Cash and cash equivalents**		
	Current account balance		45,000
	Cash		8,000
	Other bank balances		Nil
			53,000
6	**Short-term loans and Advances**		
	Loan to directors		**80,000**
7	**Other Income**		
	Rent received		46,000
	Transfer fees		10,000
			56,000
8	**Changes in inventory of finished goods, WIP & Stock in trade**		
	Opening inventory	6,80,000	
	Closing inventory	(8,23,000)	**(1,43,000)**
9	**Employee benefit expense**		
	Wages		**9,00,000**
10	**Finance cost**		
	Interest on bank loans		1,16,000
	Debenture interest		55,000
			1,71,000
11	**Other Expenses**		
	Consumables		84,000
	Preliminary expenses		10,000
	Bad debts		35,000
	Discount		40,000
	Rentals		25,000
	Commission		1,20,000
	Advertisement		20,000
	Dealers' aids		21,000
	Transit insurance		30,000
	Trade expenses		37,000
	Distribution freight		54,000
			4,76,000

Question 8

You are required to prepare a Statement of Profit and Loss and Balance Sheet from the following Trial Balance extracted from the books of the International Hotels Ltd., on 31st March, 20X2:

	Debit (₹)	Credit (₹)
Authorised Capital:		

Divided into 5,000 6% Preference Shares of ₹ 100 each and 10,000 equity Shares of ₹ 100 each		15,00,000
Subscribed Capital:		
5,000 6% Preference Shares of ₹ 100 each		5,00,000
Equity Capital		8,05,000
Purchases: Wines, Cigarettes, Cigars, etc.	45,800	
Foodstuffs	36,200	
Wages and Salaries	28,300	
Rent, Rates and Taxes	8,900	
Laundry	750	
Sales: Wines, Cigarettes, Cigars, etc.		68,400
Food		57,600
Coal and Firewood	3,290	
Carriage and Cooliage	810	
Sundry Expenses	5,840	
Advertising	8,360	
Repairs	4,250	
Rent of Rooms		48,000
Billiard		5,700
Miscellaneous Receipts		2,800
Discount received		3,300
Transfer fees		700
Freehold Land and Building	8,50,000	
Furniture and Fittings	86,300	
Inventory on hand at 1st April, 20X1: Wines, Cigarettes. Cigars, etc.	12,800	
Foodstuffs	5,260	
Cash in hand	2,200	
Cash with Bankers	76,380	
Preliminary and formation expenses	8,000	
2,000 Debentures of ₹ 100 each (6%)		2,00,000
Profit and Loss Account		41,500
Trade payables		42,000
Trade receivables	19,260	
Investments (Non-current)	2,72,300	
Goodwill at cost	5,00,000	
General Reserve		2,00,000
	19,75,000	**19,75,000**

Wages and Salaries Outstanding	1,280
Inventory on 31st March, 20X2:	
Wines, Cigarettes and Cigars, etc.	22,500
Foodstuffs	16,400

Depreciation: Furniture and Fittings @ 5% p.a.: Land and Building @ 2% p.a.

The Equity capital on 1st April, 20X1 stood at ₹ 7,20,000, that is 6,000 shares fully paid and 2,000 shares ₹ 60 paid. The directors made a call of ₹ 40 per share on 1st October 20X1. A shareholder could not pay the call on 100 shares and his shares were then forfeited and reissued @ ₹ 90 per share as fully paid. The Directors declared a dividend of 8% on equity shares on 2nd April, 20X2, transferring any amount that may be required from General Reserve. Ignore Taxation.

Answer

Balance Sheet of International Hotels Ltd. as at 31st March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	13,00,000
	(b)	Reserves and Surplus	2	2,68,745
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	2,00,000
3		**Current liabilities**		
	(a)	Trade Payables		42,000
	(b)	Other current Liabilities	4	13,280
		Total		**18,24,025**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	5	9,14,985
		ii. Intangible Asset (Goodwill)		5,00,000
	(b)	Non-Current investment		2,72,300
2		**Current assets**		
	(a)	Inventories	6	38,900
	(b)	Trade receivables		19,260
	(c)	Cash and Cash equivalents	7	78,580
		Total		**18,24,025**

Statement of Profit and Loss of International Hotels Ltd.

for the year ended 31st March, 20X2

Particulars		Notes	₹
I	Revenue from operation	8	1,79,700
II	Other income	9	6,800
III	**Total Income (I + II)**		**1,86,500**
IV	**Expenses**		
	Cost of material consumed	10	25,060
	Purchases of Inventory-in-Trade	11	45,800

	Changes in inventory of Finished goods, WIP, and Stock on trade	12	(9,700)
	Employee benefit expenses	13	29,580
	Finance costs	14	12,000
	Depreciation and amortisation expense	15	21,315
	Other expenses	16	40,200
V	**Total expenses**		**1,64,255**
VI	**Profit before tax (III – V)**		**22,245**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**22,245**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Authorized:		
	10,000 Equity shares of ₹ 100 each		10,00,000
	5,000 6% Preference shares of ₹ 100 each		5,00,000
			15,00,000
	Issued & subscribed & called up:		
	Equity share capital of ₹ 10 each		8,00,000
	5,000 6% Preference shares of ₹ 100 each		5,00,000
			13,00,000
2	**Reserves and Surplus**		
	Capital reserve [100 x (90 – 40)]		5,000
	General reserve		2,00,000
	Profit & loss Balance:		
	Opening balance	41,500	
	Profit for the period	22,245	63,745
			2,68,745
3	**Long term borrowings**		
	Secured: 6% Debentures		**2,00,000**
4	**Other current liabilities**		
	Wages and Salaries Outstanding		1,280
	Interest on debentures		12,000
			13,280
5	**Property, Plant and Equipment (PPE)**		
	Freehold land & Buildings	8,50,000	
	Less: Depreciation	(17,000)	8,33,000
	Furniture and Fittings	86,300	
	Less: Depreciation	(4,315)	81,985
	Plant & Machinery		**9,14,985**
6	**Inventories**		

	Wines, Cigarettes & Cigars, etc.		22,500
	Foodstuffs		16,400
			38,900
7	**Cash and cash equivalents**		
	Cash at bank		76,380
	Cash in hand		2,200
	Other bank balances		Nil
			78,580
8	**Revenue from operations**		
	Sale of products:		
	Wines, Cigarettes, Cigars etc.	68,400	
	Food	57,600	1,26,000
	Sale of services:		
	Room Rent	48,000	
	Billiards	5,700	53,700
			1,79,700
9	**Other Income**		
	Transfer fees		700
	Miscellaneous Receipts		2,800
	Discount received		3,300
			6,800
10	**Cost of materials consumed**		
	Opening Inventory		5,260
	Add: Purchases during the year		36,200
	Less: Closing Inventory		(16,400)
			25,060
11	**Purchases of Inventory-in-Trade**		
	Wines, Cigarettes etc.		**45,800**
12	**Changes in inventory of finished goods, WIP & Stock in trade**		
	Wines, Cigarettes etc.		
	Opening Inventory		12,800
	Less: Closing Inventory		(22,500)
			(9,700)
13	**Employee benefit expense**		
	Wages and Salaries		28,300
	Add: Wages and Salaries Outstanding		1,280
			29,580
14	**Finance cost**		
	Interest on Debentures (2,00,000 x 6%)		**12,000**
15	**Depreciation and amortisation expense**		

	Land and Buildings (8,50,000 x 2%)		17,000
	Furniture & Fittings (86,300 x 5%)		4,315
			21,315
16	**Other Expenses**		
	Rent, Rates and Taxes		8,900
	Coal and Firewood		3,290
	Laundry		750
	Carriage and Cooliage		810
	Repairs		4,250
	Advertising		8,360
	Sundry Expenses		5,840
	Preliminary and formation expenses		8,000
			40,200

Note: The final dividend will not be recognized as a liability at the balance sheet date (even if it is declared after reporting date but before approval of the financial statements) as per Accounting Standards. Hence, it has not been recognized in the financial statements for the year ended 31st March, 20X2. Such dividends will be disclosed in notes only.

Question 9

Ring Ltd. was registered with a nominal capital of ₹ 10,00,000 divided into shares of ₹ 100 each. The following Trial Balance is extracted from the books on 31st March, 20X2:

Particulars	₹	**Particulars**		₹
Buildings	5,80,000	Sales		10,40,000
Machinery	2,00,000	Outstanding Expenses		4,000
Closing Stock	1,80,000	Provision for Doubtful Debts (1.4.20X1)		6,000
Loose Tools	46,000	Equity Share Capital		4,00,000
Purchases (adjusted)	4,20,000	General Reserve		80,000
Salaries	1,20,000	Profit and Loss A/c (1.4.20X1)		50,000
Directors' Fees	20,000	Creditors		1,84,000
Rent	52,000	Provision for depreciation:		
Depreciation	40,000	On Building	1,00,000	
Bad Debts	12,000	On Machinery	1,10,000	2,10,000
Investment (non-current)	2,40,000	14% Debentures		4,00,000
Interest accrued on investment	4,000	Interest on Debentures accrued but not due		28,000
Debenture Interest	56,000	Interest on Investments		24,000
Advance Tax	1,20,000	Unclaimed dividend		10,000
Sundry expenses	36,000			
Debtors	2,50,000			
Bank	60,000			
	24,36,000			**24,36,000**

You are required to prepare statement of Profit and Loss for the year ending 31st March, 20X2 and Balance sheet as at that date after taking into consideration the following information:

(a) Closing stock is more than opening stock by ₹ 1,60,000.

(b) Provide to doubtful debts @ 4% on Debtors.

(c) Make a provision for income tax @30%.

(d) Depreciation expense included depreciation of ₹ 16,000 on Building and that of ₹ 24,000 on Machinery.

(e) The directors declared a dividend @ 25% on 2nd April, 20X2 and transfer to General Reserve @ 10%.

(f) Bills Discounted but not yet matured ₹ 20,000.

Answer

Balance Sheet of Ring Ltd. as at 31ST March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	4,00,000
	(b)	Reserves and Surplus	2	3,42,800
2		**Non-current liabilities**		
	(a)	Long term borrowings (14% debentures)		4,00,000
3		**Current liabilities**		
	(a)	Trade Payables		1,84,000
	(b)	Other Current Liabilities	3	42,000
	(c)	Short term provision	4	91,200
		Total		**14,60,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	5	5,70,000
	(b)	Non-current Investments		2,40,000
2		**Current assets**		
	(a)	Inventories	6	2,26,000
	(b)	Trade receivables	7	2,40,000
	(c)	Cash and Cash equivalents		60,000
	(d)	Short-term loans and advances		1,20,000
	(e)	Other Current Assets (Interest accrued on investments)		4,000
		Total		**14,60,000**

Ring Ltd.

Profit and Loss Statement for the year ended 31st March, 20X2

Particulars		Notes	₹
I	Revenue from operation		10,40,000
II	Other income (Interest on investment)		24,000

III	**Total Income (I + II)**		**10,64,000**
IV	**Expenses**		
	Purchases of Inventory-in-Trade [4,20,000 + 1,60,000]		5,80,000
	Changes in inventory [20,000 – 1,80,000]		(1,60,000)
	Employee benefit expenses		1,20,000
	Finance costs		56,000
	Depreciation and amortisation expense		40,000
	Other expenses	8	1,24,000
V	**Total expenses**		**7,60,000**
VI	**Profit before tax (III – V)**		**3,04,000**
VII	Tax expense		(91,200)
VIII	**Profit after tax (VI – VII)**		**2,12,800**

Notes to Accounts:

S. No.	Particulars		₹
1	**Share Capital**		
	Equity share capital		
	Authorized:		
	10,000 Equity Shares of ₹ 100 each		**10,00,000**
	Issued & subscribed & called up		
	4,000 Equity Shares of ₹ 100 each		**4,00,000**
2	**Reserves and Surplus**		
	General reserve [₹ 80,000 + ₹ 21,280]		1,01,280
	Profit & loss Balance:		
	Opening balance	50,000	
	Profit for the period	2,12,800	
		2,62,800	
	Less: Appropriations (Transfer to General Reserve @ 10%)	(21,280)	2,41,520
			3,42,800
3	**Other Current Liabilities**		
	Unclaimed Dividend		10,000
	Outstanding Expenses		4,000
	Interest accrued on Debentures		28,000
			42,000
4.	**Short-Term Provision**		
	Provision for Tax		**91,200**
5	**Property, Plant and Equipment (PPE)**		
	Buildings	5,80,000	
	Less: Provision for Depreciation	1,00,000	4,80,000
	Plant and Equipment	2,00,000	
	Less: Provision for Depreciation	1,10,000	90,000

			5,70,000
6	**Inventories**		
	Closing Stock of Finished Goods		1,80,000
	Loose Tools		46,000
			2,26,000
7	**Trade Receivables**		
	Sundry Debtors		2,50,000
	Less: Provision for Doubtful Debts		(10,000)
			2,40,000
8.	**Other Expenses**		
	Rent		52,000
	Directors' Fees		20,000
	Bad Debts		12,000
	Provision for Doubtful Debts (4% of ₹ 2,50,000 less ₹ 6,000)		4,000
	Sundry Expenses		36,000
			1,24,000

Note: The final dividend will not be recognized as a liability at the balance sheet date (even if it is declared after reporting date but before approval of the financial statements) as per Accounting Standards. Hence, it has not been recognized in the financial statements for the year ended 31 March, 20X2. Such dividends will be disclosed in notes only.

Question 10

Om Ltd. has the Authorised Capital of ₹ 15,00,000 consisting of 6,000 6% Redeemable Preference shares of ₹ 100 each and 90,000 equity Shares of ₹ 10 each. The following was the Trial Balance of the Company as on 31st March, 20X2:

Particulars	Debit (₹)	Credit (₹)
Investment in shares at cost (non-current investment)	1,50,000	
Purchases	14,71,500	
Selling expenses	2,37,300	
Inventory as at the beginning of the year	4,35,600	
Salaries and wages (included ₹ 30,000 being Director's Remuneration)	1,56,000	
Cash on hand	84,000	
Bills receivable	1,24,500	
Interest on Bank overdraft	29,400	
Interest on debentures upto 30th Sep (1st half year)	11,250	
Sundry Debtors and Sundry Creditors	1,50,300	2,63,550
Freehold property at cost	10,50,000	
Furniture at cost less depreciation of ₹ 45,000	1,05,000	
6% Redeemable Preference share capital		6,00,000
Equity share capital fully paid up		6,00,000

5% mortgage debentures secured on freehold properties		4,50,000
Dividends received		12,750
Profit and Loss A/c (opening balance)		85,500
Sales (Net)		20,11,050
Bank overdraft (secured by hypothecation of stocks and receivables)		4,50,000
Technical knowhow fees (cost paid during the year)	4,50,000	
Audit fees	18,000	
Total	**44,72,850**	**44,72,850**

Other Information:

1. Closing Stock was valued at ₹ 4,27,500.
2. Purchases include ₹ 15,000 worth of goods and articles distributed among valued customers.
3. Salaries and Wages include ₹ 6,000 being Wages incurred for installation of Electrical Fittings which were recorded under "Furniture".
4. Bills Receivable include ₹ 4,500 being dishonoured bills. 50% of which had been considered irrecoverable.
5. Bills Receivable of ₹ 6,000 maturing after 31st March were discounted.
6. Depreciation on Furniture to be charged at 10% on Written Down Value.
7. Interest on Debentures for the half year ending on 31st March was due on that date.
8. Technical Knowhow Fees is to be written off over a period of 10 years.
9. Trade receivables include ₹ 18,000 due for more than six months.
10. It is proposed to capitalize part of the undistributed profits by making bonus issue to the shareholders by allocating one equity share of ₹ 100 each for every 5 shares held.

You are required to prepare the Balance Sheet as at 31st March, 20X2 and Statement of Profit and Loss for the year ended 31st March, 20X2 as per Schedule III to the Companies Act, 2013 after taking into account the above information. Ignore taxation.

Answer

Balance sheet of Om Ltd. as at 31st March, 20X2

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,00,000
	(b)	Reserves and Surplus	2	1,14,150
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	4,50,000
3		**Current liabilities**		
	(a)	Short term borrowings	4	4,50,000
	(b)	Trade Payables		2,63,550
	(c)	Other Current Liabilities	5	11,250
		Total		**24,88,950**

		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset		
		i. Property, plant and Equipment	6	11,49,900
		ii. Intangible asset	7	4,05,000
	(b)	Non-current Investments (Shares at cost)		1,50,000
2		**Current assets**		
	(a)	Inventories		4,27,500
	(b)	Trade receivables	8	2,72,550
	(c)	Cash and Cash equivalents - Cash on hand		84,000
		Total		**24,88,950**

Note: There is a Contingent liability for Bills receivable discounted with Bank ₹ 6000.

Statement of Profit and Loss of Om Ltd. for the year ended 31st March, 20X2

Particulars		**Notes**	**₹**
I	Revenue from operation		20,11,050
II	Other income (Dividend income)		12,750
III	**Total Income (I + II)**		**20,23,800**
IV	**Expenses**		
	Purchases of Inventory (14,71,500 – Advertisement Expenses 15,000)		14,56,500
	Changes in inventory (4,35,600 – 4,27,500)		8,100
	Employee benefit expenses	9	1,20,000
	Finance costs (Interest on debentures)	10	51,900
	Depreciation and amortisation expense	11	56,100
	Other expenses	12	3,02,550
V	**Total expenses**		**19,95,150**
VI	**Profit before tax (III – V)**		**28,650**
VII	Tax expense		–
VIII	**Profit after tax (VI – VII)**		**28,650**

Notes to accounts

S. No.	**Particulars**		**₹**
1	**Share Capital**		
	Authorized capital:		
	90,000 Equity Shares of ₹ 10 each.		9,00,000
	6,000 6% Preference shares of ₹ 100 each		6,00,000
			15,00,000
	Issued, subscribed & called up:		
	60,000, Equity Shares of ₹ 10 each		6,00,000
	6,000 6% Redeemable Preference Shares of 100 each		6,00,000
			12,00,000

2	**Reserves and Surplus**			
	Profit & Loss Balance:			
	Balance as on 1st April, 20X1			85,500
	Add: Surplus for current year			28,650
				1,14,150
3	**Long Term Borrowings**			
	5% Mortgage Debentures (Secured against Freehold Properties)			**4,50,000**
4	**Short Term Borrowings**			
	Secured Borrowings:			**4,50,000**
	Loans Repayable on Demand Overdraft from Banks			
	(Secured by Hypothecation of Stocks & Receivables)			
5	**Other Current liabilities**			
	Interest due on Borrowings (5% Debentures)			**11,250**
6	**Property, plant and equipment**			
	Furniture:			
	Cost Less depreciation ₹ 45,000 (as given in Trial Balance)		1,05,000	
	Add: Depreciation		45,000	
	Cost of Furniture		1,50,000	
	Add: Installation charge of Electrical Fittings		6,000	
	(wrongly included under the heading Salaries and Wages)			
	Total Gross block of Furniture A/c		1,56,000	
	Accumulated Depreciation Account:			
	Opening Balance as given in Trial Balance	45,000		
	Depreciation for the year:			
	On Opening WDV at 10% i.e. (10% x 1,05,000)	10,500		
	On additional purchase at 10% i.e. (10% x 6,000)	600		
	Less: Accumulated Depreciation		(56,100)	99,900
	Freehold property (at cost)			10,50,000
				11,49,900
7	**Intangible Assets**			
	Technical knowhow			4,50,000
	Less: Written off			45,000
				4,05,000
8	**Trade Receivables**			
	Sundry Debtors			
	(a) Debt outstanding due more than six months		18,000	
	(b) Other Debts (refer Working Note)		1,34,550	1,52,550
	Bills Receivable (1,24,500 – 4,500)			1,20,000
				2,72,550
9	**Employee benefit expenses**			

	Salaries & Wages		1,56,000
	Less: Wages incurred for installation of electrical to be capitalised		6,000
	Less: Directors' Remuneration shown separately		30,000
			1,20,000
10	**Finance Costs**		
	Interest on bank overdraft		29,400
	Interest on debentures		22,500
			51,900
11	**Depreciation & Amortisation Expenses**		
	Depreciation [10% of (1,05,000 + 6,000)]		11,100
	Technical knowhow written of (4,50,000/10)		45,000
			56,100
12	**Other Expenses**		
	Payment to the auditors		18,000
	Director's remuneration		30,000
	Selling expenses		2,37,300
	Advertisement (Goods and Articles Distributed)		15,000
	Bad Debts (4,500 x 50%)		2,250
			3,02,550

Working Note: Calculation of Sundry Debtors – Other Debts

	₹
Sundry Debtors as given in Trial Balance	1,50,300
Add Back: Bills Receivables Dishonored	4,500
	1,54,800
Less: Bad Debts written off (50% ₹ 4,500)	(2,250)
Adjusted Sundry Debtors	1,52,550
Less: Debts due for more than 6 months (as per information given)	(18,000)
Total of other Debtors i.e. Debtors outstanding for less than 6 months	**1,34,550**

Note: Since Bonus issue is in proposal state, no adjustment has been made in the given answer.

Declaration of Dividend to Equity Shareholders

Question 11

Due to inadequacy of profits during the year ended 31st March, 20X2, XYZ Ltd. proposes to declare 10% dividend out of general reserves. From the following particulars, ascertain the amount that can be utilised from general reserves, according to the Companies (Declaration of dividend out of Reserves) Rules, 2014:

	₹
17,500 9% Preference shares of ₹ 100 each, fully paid up	17,50,000
8,00,000 Equity shares of ₹ 10 each, fully paid up	80,00,000

General Reserves as on 1.4.20X1	25,00,000
Capital Reserves as on 1.4.20X1	3,00,000
Revaluation Reserves as on 1.4.20X1	3,50,000
Net profit for the year ended 31st March, 20X2	3,00,000
Average rate of dividend during the last three years has been 12%.	

Answer

Calculation of desired dividend amount to be withdrawn from general reserve

Equity shares dividend (10% dividend on ₹ 80,00,000)		₹ 8,00,000
Profits available		
Current year profit	3,00,000	
Less: Preference dividend	(1,57,500)	(1,42,500)
Amount which can be utilised from reserves		**6,57,500**

Conditions as per Companies (Declaration of dividend out of Reserves) Rules, 2014:

Condition I

Since 10% is lower than the average rate of dividend (12%), 10% dividend can be declared.

Condition II

Maximum amount that can be drawn from the accumulated profits and reserves should not exceed 10% of paid-up capital plus free reserves i.e. ₹ 12,25,000 [10% of (80,00,000 + 17,50,000 + 25,00,000)]

Condition III

The balance of reserves after withdrawal ₹ 18,42,500 (₹ 25,00,000 – ₹ 6,57,500) should not fall below 15% of its paid up capital i.e. ₹ 14,62,500 (15% of ₹ 97,50,000]

Since all the three conditions are satisfied, the company can withdraw ₹ 6,57,500 from accumulated reserves (as per Declaration and Payment of Dividend Rules, 2014.)

Question 12

Following information are available in respect of Z Limited as on 31st March, 20X7

1. Equity shares of ₹ 100 each ₹ 500 lakhs
2. General Reserve ₹ 100 lakhs
3. Loss for the year ending 31st March, 20X7 ₹ 5 lakhs

Due to absence of profits during the year 20X6-X7, the management recommends to declare dividend of 10% on equity share capital out of general reserve.

The rates of equity dividend for the last 5 years immediately preceding the year 20X6-X7 are as follows:

20X5-X6	20X4-X5	20X3-X4	20X2-X3	20X1-X2
12%	14%	10%	10%	7%

As an accountant of the company, you are required to suggest whether the recommendation of the management is justified? If you do not agree, then suggest the rate of dividend.

Answer

In case of declaration of dividend out of free reserves, there are 3 conditions:

(1) Dividend Rate ≤ Average Rate of last 3 years

10% < 12% [(12+14+10)/3]

Condition is Satisfied

(2) Dividend Distributed ≤ [10% of PUSC + Reserve and Surplus]

50,00,000 < 59,50,000 [(5,00,00,000 + 1,00,00,000 – 5,00,000) x 10%]

Condition is Satisfied

(3) Reserves after dividend ≥ 15% of PUSC

45,00,000 not ≥ 75,00,000 (5,00,00,000 x 15%)

Condition is Not Satisfied

(4) The closing balance of reserves after payment of dividend and set off of loss = ₹ 75,00,000

Therefore, can be utilized = 20,00,000 (1,00,00,000 – 5,00,000 – 75,00,000)

Thus, rate of dividend = (20,00,000/5,00,00,000) = 4%

Therefore, the recommendation of management is not justified and a dividend only up to a rate of 4% can be declared.

CHAPTER - 29
Buy Back of Securities

Accounting for Buy Back of Shares

Question 1

Following information are available in respect of Z Limited as on 31st March, 20X4:

4,00,000 Equity share capital of ₹ 10 each	₹ 40,00,000
Capital Reserve	₹ 20,000
Revenue Reserve	₹ 50,00,000
Securities Premium	₹ 6,00,000
Profit and Loss Account	₹ 19,00,000
Investments	₹ 40,00,000

The company decides to buy back 20% of its Equity capital @ ₹ 15 per share on 1st April, 20X4. Buy back is as per provisions of the Companies Act and company passed the necessary resolutions for it. For this purpose, it sold its investments of ₹ 40 lakhs for ₹ 32 lakhs.

You are required to pass the necessary journal entries.

Answer

In the books of Z Limited

Journal Entries

S. No.	Particulars		Debit (₹)	Credit (₹)
1.	Bank A/c	Dr.	32,00,000	
	Profit and Loss A/c	Dr.	8,00,000	
	To Investment A/c			40,00,000
	(Being investment sold for the purpose of buy-back of Equity Shares)			
2.	Equity shares capital A/c	Dr.	8,00,000	
	Premium payable on buy-back	Dr.	4,00,000	
	To Equity shares buy-back A/c			12,00,000
	(Being the amount due on buy-back of equity shares)			
3.	Equity shares buy-back A/c	Dr.	12,00,000	
	To Bank A/c			12,00,000
	(Being payment made for buy-back of equity shares)			
4.	Securities Premium A/c	Dr.	4,00,000	
	To Premium payable on buy-back			4,00,000
	(Being premium payable on buy-back charged from Securities premium)			
5.	Revenue reserve A/c	Dr.	8,00,000	
	To Capital Redemption Reserve A/c			8,00,000
	(Being creation of capital redemption reserve to the extent of the equity shares bought back)			

Question 2

M Ltd. furnishes the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	₹ (in 000)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,000
	(b)	Reserves and Surplus	2	6,310
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	400
3		**Current liabilities**		
	(a)	Trade Payables		40
		Total		**11,750**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	2,750
	(b)	Non-Current Investments (at cost)		5,000
2		**Current assets**		
	(a)	Inventories		1,000
	(b)	Trade receivables		2,000
	(c)	Cash and Cash equivalents		1,000
		Total		**11,750**

Notes to accounts

S. No.	Particulars	₹ in ('000)
1	**Share Capital**	
	Authorized, Issued and Subscribed Capital:	
	3,00,000 Equity shares of ₹ 10 each fully paid up	3,000
	20,000 9% Preference Shares of 100 each	2,000
	Total	**5,000**
2	**Reserves and Surplus**	
	Capital reserve	10
	Revenue reserve	4,000
	Securities premium	500
	Profit and Loss account	1,800
	Total	**6,310**
3	**Long term borrowings**	
	10% Debentures	**400**
4	**Property, Plant and Equipment (PPE)**	
	PPE: Cost	3,000
	Less: Provision for depreciation	(250)
	Net carrying value	**2,750**

The company passed a resolution to buy-back 20% of its equity capital @ ₹ 15 per share. For this purpose, it sold its investments of ₹ 30 lakhs for ₹ 25 lakhs. You are required to pass necessary Journal entries.

Answer

Journal Entries in the books of M Ltd. **₹ in '000**

S. No.	Particulars		Debit (₹)	Credit (₹)
1.	Bank A/c	Dr.	2,500	
	Profit and Loss A/c	Dr.	500	
	To Investment A/c			3,000
	(Being investment sold for the purpose of buy-back of Equity Shares)			
2.	Equity shares capital A/c	Dr.	600	
	Premium payable on buy-back	Dr.	300	
	To Equity shares buy-back A/c			900
	(Being the amount due on buy-back of equity shares)			
3.	Equity shares buy-back A/c	Dr.	900	
	To Bank A/c			900
	(Being payment made for buy-back of equity shares)			
4.	Securities Premium A/c	Dr.	300	
	To Premium payable on buy-back			300
	(Being premium payable on buy-back charged from Securities premium)			
5.	Revenue reserve A/c	Dr.	600	
	To Capital Redemption Reserve A/c			600
	(Being creation of capital redemption reserve to the extent of the equity shares bought back)			

Question 3

Dee Limited (a non-listed company) furnishes the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	(in thousand ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	2,700
	(b)	Reserves and Surplus	2	9,700
2		**Current liabilities**		
	(a)	Trade Payables		1,400
		Total		**13,800**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		9,300
	(b)	Non-Current Investments (at cost)		3,000
2		**Current assets**		

	(a)	Inventory		500
	(b)	Trade receivables		200
	(c)	Cash and Cash equivalents		800
		Total		**13,800**

Notes to accounts

S. No.	Particulars	(in thousand ₹)
1	**Share Capital**	
	Authorized, issued and subscribed capital:	
	2,50,000 Equity shares of ₹ 10 each fully paid up	2,500
	2,000, 10% Preference shares of ₹ 100 each	200
	(Issued two months back for the purpose of buy-back)	
	Total	**2,700**
2	**Reserves and Surplus**	
	Capital reserve	1,000
	Revenue reserve	3,000
	Securities premium	2,200
	Profit and loss account	3,500
	Total	**9,700**

The company passed a resolution to buy-back 20% of its equity capital @ ₹ 50 per share. For this purpose, it sold all of its investment for ₹ 22,00,000.

You are required to pass necessary journal entries and prepare the Balance Sheet.

Answer

Journal Entries in the books of Dee Limited **(in thousand ₹)**

S. No.	Particulars		Debit (₹)	Credit (₹)
(i)	Bank Account	Dr.	2,200	
	Profit and Loss Account	Dr.	800	
	To Investment Account			3,000
	(Being the investments sold at loss for the purpose of buy-back)			
(ii)	Equity Share buy-back Account	Dr.	2,500	
	To Bank Account			2,500
	(Being the payment made on buy-back)			
(iii)	Equity Share Capital Account	Dr.	500	
	Premium Payable on Buy-Back Account	Dr.	2,000	
	To Equity Shares Buy-Back Account			2,500
	(Being the buy-back amount allocated to equity share capital)			
(iv)	Securities premium Account	Dr.	2,000	
	To Premium payable on buy-back Account			2,000
	(Being the premium payable on buy-back adjusted against securities premium account)			

(v)	Revenue reserve Account	Dr.	300	
	To Capital Redemption Reserve Account			300
	(Being the amount equal to nominal value of equity shares bought back out of free reserves transferred to capital redemption reserve account)			

Balance Sheet of Dee Limited as at 1st April, 20X1 (After buy-back of shares)

Particulars			Notes	(in thousand ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	2,200
	(b)	Reserves and Surplus	2	6,900
2		**Current liabilities**		
	(a)	Trade Payables		1,400
		Total		**10,500**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		9,300
2		**Current assets**		
	(a)	Inventory		500
	(b)	Trade receivables		200
	(c)	Cash and Cash equivalents		500
		Total		**10,500**

Notes to accounts

S. No.	Particulars		(in thousand ₹)
1	**Share Capital**		
	Authorized, issued and subscribed capital:		
	2,00,000 Equity shares of ₹ 10 each fully paid up		2,000
	2,000, 10% Preference shares of ₹ 100 each		200
	(Issued two months back for the purpose of buy-back)		
	Total		**2,200**
2	**Reserves and Surplus**		
	Capital reserve		1,000
	Capital redemption reserve		300
	Securities Premium	2,200	
	Less: Premium payable on buy-back of shares	(2,000)	200
	Revenue reserve	3,000	
	Less: Transfer to Capital redemption reserve	(300)	2,700
	Profit and loss A/c	3,500	
	Less: Loss on investment	(800)	2,700
	Total		**6,900**

Question 4

Anu Ltd. (a non-listed company) furnishes you with the following balance sheet as at 31st March, 20X1:

Particulars			Notes	(in crores ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	100
	(b)	Reserves and Surplus	2	300
2		**Current liabilities**		
	(a)	Trade Payables		40
		Total		**440**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	3	–
	(b)	Non-Current Investments (at cost)	4	100
2		**Current assets**		
	(a)	Trade receivables		140
	(b)	Cash and Cash equivalents		200
		Total		**440**

Notes to accounts

S. No.	Particulars	(in crores ₹)
1	**Share Capital**	
	Authorized, issued and subscribed share capital:	
	12% Redeemable preference shares of ₹ 100 each, fully paid up	75
	Equity shares of ₹ 10 each, fully paid up	25
	Total	**100**
2	**Reserves and Surplus**	
	Capital reserve	15
	Securities premium	25
	Revenue reserves	260
	Total	**300**
3	**Property, Plant and Equipment**	
	PPE Cost	100
	Less: Provision for depreciation	(100)
	Net carrying value	**NIL**
4	**Non-Current Investments**	
	Non-current investments at cost (Market value ₹ 400 Cr.)	**100**

The company redeemed preference shares on 1st April, 20X1. It also bought back 50 lakhs equity shares of ₹ 10 each at ₹ 50 per share. The payments for the above were made out of the huge bank balances, which appeared as a part of current assets.

You are asked to:

(i) Pass journal entries to record the above.

(ii) Prepare balance sheet as at 1.4.20X1

Answer

(i) **Journal entries in the books of Anu Ltd.** **₹ in crores**

Date	Particulars		Debit (₹)	Credit (₹)
1.4.20X1	12% Preference share capital A/c	Dr.	75	
	To Preference shareholders A/c			75
	(Being preference share capital transfer to shareholders account)			
	Preference shareholders A/c	Dr.	75	
	To Bank A/c			75
	(Being payment made to shareholders)			
	Shares buy-back A/c	Dr.	25	
	To Bank A/c			25
	(Being 50 lakhs equity shares bought back @ ₹ 50 per share)			
	Equity share capital A/c (50 lakhs x ₹ 10)	Dr.	5	
	Securities premium A/c (50 lakhs x ₹ 40)	Dr.	20	
	To Shares buy-back A/c			25
	(Being cancellation of shares bought back)			
	Revenue Reserve A/c	Dr.	80	
	To Capital Redemption Reserve A/c (75 + 5)			80
	(Being creation of capital redemption reserve to extent of face value of preference shares redeemed and equity shares bought back)			

(ii) **Balance Sheet of Anu Ltd as at 1.4.20X1**

Particulars			Notes	(in crores ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	20
	(b)	Reserves and Surplus	2	280
2		**Current liabilities**		
	(a)	Trade Payables		40
		Total		**340**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	3	–
	(b)	Non-Current Investments (at cost)	4	100
2		**Current assets**		
	(a)	Trade receivables		140
	(b)	Cash and Cash equivalents	5	100
		Total		**340**

Notes to accounts

S. No.	Particulars		(in crores ₹)
1	**Share Capital**		
	Authorized, issued and subscribed share capital		
	200 lakhs Equity shares of ₹ 10 each fully paid		20
	Total		**20**
2	**Reserves and Surplus**		
	Capital reserve		15
	Capital redemption reserve		80
	Securities premium	25	
	Less: Utilization for buy-back of shares	(20)	5
	Revenue Reserve	260	
	Less: transfer to Capital redemption reserve	(80)	180
	Total		**280**
3	**Property, plant and Equipment**		
	PPE: cost		100
	Less: Provision for depreciation		(100)
	Net carrying value		–
4	**Non-Current Investments**		
	Non-current investments at cost (Market value ₹ 400 Crores)		**100**
5	**Cash and Cash Equivalents**		
	Cash and Cash Equivalents as on 31.3.20X1		200
	Less: Bank payment for redemption and buy-back		(100)
	Total		**100**

Question 5

KG Limited furnishes the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,200
	(b)	Reserves and Surplus	2	810
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	750
3.		**Current liabilities**		
	(a)	Trade payable		745
	(b)	Other current liabilities		195
		Total		**3,700**
		Assets		

1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	2,026
	(b)	Non-Current Investments (at cost)		74
2		**Current assets**		
	(a)	Inventory		600
	(b)	Trade receivable		260
	(c)	Cash and Cash equivalents		740
		Total		**3,700**

Notes to accounts

S. No.	Particulars	(in lakhs ₹)
1	**Share Capital**	**1,200**
	Authorized, issued and subscribed capital Equity share capital (fully paid-up shares of ₹ 10 each)	
2	**Reserves and Surplus**	
	Securities premium	175
	General reserve	265
	Capital redemption reserve	200
	Profit & loss A/c	170
	Total	**810**
3	**Long term borrowings**	
	12% Debentures	**750**
4	**Property, plant and equipment**	
	Land and Building	1,800
	Plant and machinery	226
	Net carrying value	**2,026**

On 1st April, 20X1, the company announced the buy-back of 25% of its equity shares @ ₹ 15 per share. For this purpose, it sold all of its investments for ₹ 75 lakhs.

On 5th April, 20X1, the company achieved the target of buy-back. On 30th April, 20X1 the company issued one fully paid-up equity share of ₹ 10 by way of bonus for every four equity shares held by the equity shareholders.

You are required to:

(1) Pass necessary journal entries for the above transactions.

(2) Prepare Balance Sheet of KG Limited after bonus issue of the shares.

Answer

In the books of KG Limited

Journal Entries **(in lakhs ₹)**

Date	Particulars		Debit	Credit
20X1	Bank A/c	Dr.	75	
April 1	To Investment A/c			74
	To Profit on sale of investment			1

	(Being investment sold on profit)			
April 5	Equity shares capital A/c	Dr.	300	
	Securities premium A/c	Dr.	150	
	To Equity shares buy-back A/c			450
	(Being the amount due to equity shareholders on buy-back)			
	Equity shares buy-back A/c	Dr.	450	
	To Bank A/c			450
	(Being the payment made on account of buy-back of 30 Lakh Equity Shares)			
April 5	General reserve A/c	Dr.	265	
	Profit and Loss A/c	Dr.	35	
	To Capital redemption reserve A/c			300
	(Being amount equal to nominal value of buy- back shares from free reserves transferred to capital redemption reserve account as per the law)			
April 30	Capital redemption reserve A/c	Dr.	225	
	To Bonus shares A/c (W.N.1)			225
	(Being the utilization of capital redemption reserve to issue bonus shares)			
	Bonus shares A/c	Dr.	225	
	To Equity share capital A/c			225
	(Being issue of one bonus equity share for every four equity shares held)			

Balance Sheet (After buy-back and issue of bonus shares)

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	1,125
	(b)	Reserves and Surplus	2	436
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	750
3.		**Current liabilities**		
	(a)	Trade payable		745
	(b)	Other current liabilities		195
		Total		**3,251**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	2,026
2		**Current assets**		
	(a)	Inventory		600
	(b)	Trade receivable		260
	(c)	Cash and Cash equivalents		365
		Total		**3,251**

Notes to accounts

S. No.	Particulars		(in lakhs ₹)
1	**Share Capital**		
	Authorized, issued and subscribed capital:		
	Equity share capital (fully paid up shares of ₹ 10 each)		**1,125**
2	**Reserves and Surplus**		
	General Reserve	265	
	Less: Transfer to CR	(265)	–
	Capital Redemption Reserve	200	
	Add: Transfer due to buy-back of shares from P/L	35	
	Add; Transfer due to buy-back of shares from General Reserve	265	
	Less: Utilisation for issue of bonus shares	(225)	275
	Securities premium	175	
	Less: Adjustment for premium paid on buy-back	(150)	25
	Profit & Loss A/c	170	
	Add: Profit on sale of investment	1	
	Less: Transfer to CRR	(35)	136
	Total		**436**
3	**Long term borrowings**		
	12% Debentures		**750**
4	**Property, Plant and Equipment**		
	Land and Building		1,800
	Plant and machinery		226
	Net carrying value		**2,026**

Working Notes:

1. Amount of bonus shares = 25% of (1,200 – 300) lakhs = ₹ 225 lakhs
2. Cash at bank after issue of bonus shares

Particulars	₹ in lakhs
Cash balance as on 1st April, 20X1	740
Add: Sale of investments	75
	815
Less: Payment for buy-back of shares	(450)
	365

Question 6

X Ltd. furnishes the following summarized Balance Sheet as at 31.03.20X1.

Liabilities	(in ₹)	(in ₹)
Share Capital		
Equity Share Capital of ₹ 20 each fully paid up	50,00,000	
10,000, 10% Preference Shares of ₹ 100 each fully paid up	10,00,000	60,00,000

Reserves & Surplus		
Capital Reserve	1,00,000	
Security Premium	12,00,000	
Revenue Reserve	5,00,000	
Profit and Loss	20,00,000	
Dividend Equalization Fund	5,50,000	43,50,000
Non-Current Liabilities		
12% Debenture		12,50,000
Current Liabilities (trade payable)		5,50,000
Total		**1,21,50,000**
Assets		
Fixed Assets		
Tangible Assets		1,00,75,000
Current Assets		
Investment	3,00,000	
Inventory	2,00,000	
Cash and Bank	15,75,000	20,75,000
Total		**1,21,50,000**

The shareholders adopted the resolution on the date of the above-mentioned Balance Sheet to:

(1) Buy back 25% of the paid-up capital and it was decided to offer a price of 20% over market price. The prevailing market value of the company's share is ₹ 30 per share.

(2) To finance the buy-back of shares, company:

(a) Issues 3000, 14% debentures of ₹ 100 each at a premium of 20%.

(b) Issues 2500, 10% preference shares of ₹ 100 each.

(3) Sell investment worth ₹ 1,00,000 for ₹ 1,50,000.

(4) Maintain a balance of ₹ 2,00,000 in Revenue Reserve.

(5) Later the company issue three fully paid-up equity share of ₹ 20 each by way of bonus share for every 15 equity shares held by the equity shareholders.

You are required to pass the necessary journal entries to record the above transactions and prepare Balance Sheet after buy back.

Answer

Journal Entries in the books of X Limited

S. No.	Particulars		Debit (₹)	Credit (₹)
1.	Bank A/c	Dr.	3,60,000	
	To 14 % Debenture A/c			3,00,000
	To Securities Premium A/c			60,000
	(Being 14 % debentures issued to finance buy back)			
2.	Bank A/c	Dr.	2,50,000	
	To 10% preference share capital A/c			2,50,000

	(Being 10% preference share issued to finance buy back)			
3.	Bank A/c	Dr.	1,50,000	
	To Investment A/c			1,00,000
	To Profit on sale of investment			50,000
	(Being investment sold on profit)			
4.	Equity shares capital A/c (62,500 x ₹ 20)	Dr.	12,50,000	
	Securities premium A/c (62,500 x ₹ 16)	Dr.	10,00,000	
	To Equity shares buy back A/c (62,500 x ₹ 36)			22,50,000
	(Being the amount due to equity shareholders on buy back)			
5.	Equity shares buy back A/c	Dr.	22,50,000	
	To Bank A/c			22,50,000
	(Being the payment made on account of buy back of 62,500 Equity Shares as per the Companies Act)			
6.	Revenue reserve	Dr.	3,00,000	
	Profit and Loss A/c	Dr.	7,00,000	
	To Capital redemption reserve A/c [12,50,000 less 2,50,000]			10,00,000
	(Being amount equal to nominal value of buy back shares from free reserves transferred to capital redemption reserve account as per the law)			
7.	Capital redemption reserve A/c	Dr.	7,50,000	
	To Bonus shares A/c (W.N.1)			7,50,000
	(Being the utilization of capital redemption reserve to issue 37,500 bonus shares)			
8.	Bonus shares A/c	Dr.	7,50,000	
	To Equity share capital A/c			7,50,000
	(Being issue of 3 bonus share for every 15 equity shares held)			

Balance Sheet (After buy back and issue of bonus shares)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	57,50,000
	(b)	Reserves and Surplus	2	27,10,000
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	15,50,000
3.		**Current liabilities**		
	(a)	Trade payable		5,50,000
		Total		**1,05,60,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		1,00,75,000
2		**Current assets**		

	(a)	Current investment		2,00,000
	(b)	Inventory		2,00,000
	(c)	Cash and cash equivalent (WN 2)		85,000
		Total		**1,05,60,000**

Notes to Accounts

S. No.	Particulars		₹
1.	**Share Capital**		
	Equity shares capital of ₹ 20 each [2,50,000 – 62,500 + 37,500 shares]		45,00,000
	10% preference shares @ ₹ 100 each [10,00,000 + 2,50,000]		12,50,000
	Total		**57,50,000**
2.	**Reserves and Surplus**		
	Capital Reserve		1,00,000
	Revenue reserve		2,00,000
	Securities premium:	12,00,000	
	Add: Premium on debenture	60,000	
	Less: Adjustment for premium paid on buy back	(10,00,000)	2,60,000
	Capital Redemption Reserve:		
	Transfer due to buy-back of shares from P&L	10,00,000	
	Less: Utilisation for issue of bonus shares	(7,50,000)	2,50,000
	Profit & Loss A/c:	20,00,000	
	Add: Profit on sale of investment	50,000	
	Less: Transfer to CRR	(7,00,000)	13,50,000
	Dividend equalization reserve		5,50,000
	Total		**27,10,000**
3.	**Long-term borrowings**		
	12% Debentures		12,50,000
	14% Debentures		3,00,000
	Total		**15,50,000**

Working Notes:

1. Amount of bonus shares = [(2,50,000 – 25%) x 3/15] x 20 = 37,500 x 20 = 7,50,000
2. Cash at bank after issue of bonus shares

	₹
Cash balance as on 31.3.20X1	15,75,000
Add: Issue of debenture	3,60,000
Add: issue of preference shares	2,50,000
Add: Sale of investments	1,50,000
	23,35,000
Less: Payment for buy back of shares	(22,50,000)
	85,000

Question 7

Extra Ltd. (a non-listed company) furnishes you with the following Balance Sheet as at 31st March, 20X1:

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	120
	(b)	Reserves and Surplus	2	118
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	4
3.		**Current liabilities**		
	(a)	Other current liabilities		70
		Total		**312**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		50
	(b)	Non-Current Investments (at cost)		120
2		**Current assets**		
	(a)	Cash and Cash equivalents		142
		Total		**312**

Notes to accounts

S. No.	Particulars	(in lakhs ₹)
1	**Share Capital**	
	Authorized, issued and subscribed capital:	
	Equity shares of ₹ 10 each fully paid	100
	9% Redeemable preference shares of ₹ 100 each fully paid	20
	Total	120
2	**Reserves and Surplus**	
	Capital reserves	3
	Revenue reserves	55
	Securities premium	60
	Total	118
3	**Long term borrowings**	
	10% Debentures	4

(i) The company redeemed the preference shares at a premium of 10% on 1st April, 20X1.

(ii) It also bought back 3 lakhs equity shares of ₹ 10 each at ₹ 30 per share. The payment for the above was made out of huge bank balances.

(iii) Included in its investment were "investments in own debentures" costing ₹ 2 lakhs (face value ₹ 2.20 lakhs). These debentures were cancelled on 1st April, 20X1.

(iv) The company had 1,00,000 equity stock options outstanding on the above-mentioned date, to the employees at ₹ 20 when the market price was ₹ 30 (This was included under other current liabilities).

On 1.04.20X1 employees exercised their options for 50,000 shares.

You are required to pass the journal entries to record the above and prepare Balance Sheet as at 01.04.20X1.

Answer

Journal Entries **(₹ in lakhs)**

Date	Particulars		Debit	Credit
20X1 1st April	9% Redeemable preference share capital A/c	Dr.	20.00	
	Premium on redemption of preference shares A/c	Dr.	2.00	
	To Preference shareholders A/c			22.00
	(Being preference share capital transferred to shareholders account)			
	Preference shareholders A/c	Dr.	22.00	
	To Bank A/c			22.00
	(Being payment made to shareholders)			
	Equity shares buy-back A/c	Dr.	90.00	
	To Bank A/c			90.00
	(Being 3 lakh equity shares of ₹ 10 each bought back @ ₹ 30 per share)			
	Equity share capital A/c	Dr.	30.00	
	Securities premium A/c	Dr.	60.00	
	To Equity Shares buy-back A/c			90.00
	(Being cancellation of shares bought back)			
	Revenue reserve A/c	Dr.	50.00	
	To Capital redemption reserve A/c			50.00
	(Being creation of capital redemption reserve account to the extent of the face value of preference shares redeemed and equity shares bought back as per the law)			
	10% Debentures A/c	Dr.	2.20	
	To Investment (own debentures) A/c			2.00
	To Profit on cancellation of own debentures A/c			0.20
	(Being cancellation of own debentures costing ₹ 2 lakhs, face value being ₹ 2.20 lakhs and the balance being profit on cancellation of debentures)			
	Bank A/c	Dr.	10.00	
	Employees stock option outstanding (Current liabilities) A/c	Dr.	5.00	
	To Equity share capital A/c			5.00
	To Securities premium A/c			10.00
	(Being the allotment to employees, of 50,000 shares of ₹ 10 each at a premium of ₹ 20 per share in exercise of stock options by employees)			
	Revenue reserve A/c	Dr.	2.00	
	To Premium on redemption of preference shares A/c			2.00
	(Being premium on redemption of preference shares adjusted through securities premium)			

Balance Sheet of Extra Ltd. as at 01.04.20X1

Particulars			Notes	(in lakhs ₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	75.00
	(b)	Reserves and Surplus	2	66.20
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	1.80
3.		**Current liabilities**		
	(a)	Other current liabilities	4	65.00
		Total		**208**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment		50.00
	(b)	Non-Current Investments (at cost)	5	118.00
2		**Current assets**		
	(a)	Cash and Cash equivalents	6	40.00
		Total		**208**

Notes to accounts

S. No.	Particulars		(in lakhs ₹)
1.	**Share Capital**		
	Equity shares of ₹ 10 each fully paid		100
	Less: Cancellation of bought back shares		(30)
	Add: Shares issued against ESOP		5
	Total		**75**
2.	**Reserves and Surplus**		
	Capital Reserve		
	Opening balance	3.00	
	Add: Profit on cancellation of debentures	0.20	3.20
	Revenue reserves		
	Opening balance	55.00	
	Less: Adjustment for premium on redemption of preference shares	(2.00)	
	Less: Creation of Capital Redemption Reserve	(50.00)	3.00
	Securities Premium		
	Opening balance	60.00	
	Less: Adjustment for cancellation of equity shares	(60.00)	
	Add: Shares issued against ESOP at premium	10.00	10.00
	Capital Redemption Reserve		50.00
	Total		**66.20**
3.	**Long term borrowings**		

	10% Debentures		4.00
	Less: Cancellation of own debentures		(2.20)
	Total		**1.80**
4.	**Other Current liabilities**		
	Opening balance		70.00
	Less: Adjustment for ESOP outstanding		(5.00)
	Total		**65.00**
5.	**Non-current investments**		
	Opening balance		120.00
	Less: Investment in own debentures		(2.00)
	Total		**118.00**
6.	**Cash and Cash Equivalents**		
	Opening balance		142.00
	Less: Payment to preference shareholders		(22.00)
	Less: Payment to equity shareholders		(90.00)
	Add: Share price received against ESOP		10.00
	Total		**40.00**

Maximum Number of Equity Shares that can be Bought Back

Question 8

Pratham Ltd. (a non-listed company) has the following Capital structure as on 31st March, 20X1:

Particulars	**₹**	**₹**
Equity Share Capital (shares of ₹ 10 each fully paid)		30,00,000
Reserves & Surplus:		
General Reserve	32,50,000	
Security Premium Account	6,00,000	
Profit & Loss Account	4,30,000	
Revaluation Reserve	6,20,000	49,00,000
Loan Funds		42,00,000

You are required to compute by Debt Equity Ratio Test, the maximum number of shares that can be bought back in the light of above information, when the offer price for buy-back is ₹ 30 per share.

Answer

Debt Equity Ratio Test

Particulars		
(a)	Loan funds	₹ 42,00,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1	₹ 21,00,000
(c)	Present equity shareholders fund	₹ 72,80,000
(d)	Future equity shareholder fund (See Note 2) (72,80,000 – 12,95,000)	₹ 59,85,000

(e)	Maximum permitted buy-back of Equity (See Note 2) [(d) – (b)]	₹ 38,85,000 (by simultaneous equation)
(f)	Maximum shares that can be bought back @ ₹ 30 per share (See Note 2)	1,29,500 shares (by simultaneous equation)

Working Note:

1. **Shareholders' funds**

Particulars	₹
Paid up capital	30,00,000
Free reserves (32,50,000 + 6,00,000 + 4,30,000)	42,80,000
	72,80,000

2. As per section 68 of the Companies Act, 2013, amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

Suppose amount equivalent to nominal value of bought back shares transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'.

Equation 1:

(Present equity – Nominal value of buy back transfer to CRR)
– Minimum equity to be maintained = Maximum permissible buy back of equity

(72,80,000 – x) – 21,00,000 = y

Since, 51,80,000 – x = y (1)

Equation 2:

(Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of the shares bought back to be transferred to CRR

(y/30) x 10 = x

3x = y (2)

x = ₹ 12,95,000 crores and y = ₹ 38,85,000 crores

Question 9

Following is the Balance Sheet of Competent Limited as at 31st March, 20X1:

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,50,000
	(b)	Reserves and Surplus	2	18,75,000
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	28,75,000
3.		**Current liabilities**		
	(a)	Short term borrowing (current maturities of long-term borrowing)		16,50,000
		Total		**76,50,000**

		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment and intangible asset	4	46,50,000
2		**Current assets**		
	(a)	Other current asset		30,00,000
		Total		**76,50,000**

Notes to accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Authorized, issued and subscribed capital:	
	Equity share capital (fully paid up shares of ₹ 10 each)	**12,50,000**
2	**Reserves and Surplus**	
	Securities premium	2,50,000
	Profit and loss account	1,25.000
	Revenue reserve	15,00,000
	Total	**18,75,000**
3	**Long term borrowings**	
	14% Debentures	18,75,000
	Unsecured Loans	10,00,000
	Total	**28,75,000**
4	**Property, plant and equipment**	
	Land and Building	19,30,000
	Plant and machinery	18,00,000
	Furniture and fitting	9,20,000
	Net carrying value	**46,50,000**

The company wants to buy-back 25,000 equity shares of ₹ 10 each, on 1st April, 20X1 at ₹ 20 per share. Buy-back of shares is duly authorized by its articles and necessary resolution has been passed by the company towards this. The payment for buy-back of shares will be made by the company out of sufficient bank balance available shown as part of Current Assets.

Comment with your calculations, whether buy-back of shares by company is within the provisions of the Companies Act, 2013. If yes, pass necessary journal entries towards buy-back of shares and prepare the Balance Sheet after buy-back of shares.

Answer

Determination of Buy-back of maximum no. of shares as per the Companies Act, 2013

1. Shares Outstanding Test

Particulars	(Shares)
Number of shares outstanding	1,25,000
25% of the shares outstanding	31,250

2. Resources Test: Maximum permitted limit is 25% of Equity paid up capital + Free Reserves

Particulars	
Paid up capital (₹)	12,50,000
Free reserves (₹) (15,00,000 + 2,50,000 + 1,25,000)	18,75,000
Shareholders' funds (₹)	31,25,000
25% of Shareholders fund (₹)	7,81,250
Buy-back price per share	₹ 20
Number of shares that can be bought back (shares)	39,062
Actual Number of shares for buy-back	25,000

3. Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back

(a)	Loan funds (₹) (18,75,000 + 10,00,000 + 16,50,000)	45,25,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹) (a/2)	22,62,500
(c)	Present equity/shareholders fund (₹)	31,25,000
(d)	Future equity/shareholders fund (₹) (see W.N.) (31,25,000 – 2,87,500)	28,37,500
(e)	Maximum permitted buy-back of Equity (₹) [(d) – (b)]	5,75,000
(f)	Maximum number of shares that can be bought back @ ₹ 20 per share	28,750 shares
(g)	Actual Buy-Back Proposed	25,000 Shares

4. Summary statement determining the maximum number of shares to be bought back

Particulars	No. of shares
Shares Outstanding Test	31,250
Resources Test	39,062
Debt Equity Ratio Test	28,750
Maximum number of shares that can be bought back [least of the above]	**28,750**

Company qualifies all tests for buy-back of shares and came to the conclusion that it can buy maximum 28,750 shares on 1st April, 20X1.

However, company wants to buy-back only 25,000 equity shares @ ₹ 20. Therefore, buy-back of 25,000 shares, as desired by the company is within the provisions of the Companies Act, 2013.

Journal Entries for buy-back of shares

	Particulars		Debit	Credit
(a)	Equity shares buy-back account	Dr.	5,00,000	
	To Bank account			5,00,000
	(Being buy-back of 25,000 equity shares of ₹ 10 each @ ₹ 20 per share)			
(b)	Equity shares capital account	Dr.	2,50,000	
	Securities premium account	Dr.	2,50,000	
	To Equity shares buy-back account			5,00,000
	(Being cancellation of shares bought back)			
(c)	Revenue reserve account	Dr.	2,50,000	
	To Capital redemption reserve account			2,50,000
	(Being transfer of free reserves to capital redemption reserve to the extent of nominal value of capital bought back through free reserves)			

Balance Sheet of M/s. Competent Ltd. as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	10,00,000
	(b)	Reserves and Surplus	2	16,25,000
2.		**Non-current liabilities**		
	(a)	Long term borrowings	3	28,75,000
3.		**Current liabilities**		
	(a)	Short term borrowing		16,50,000
		Total		**71,50,000**
		Assets		
1		**Non-current assets**		
	(a)	Property, Plant and Equipment	4	46,50,000
2		**Current assets**		
	(a)	Other current asset		25,00,000
		Total		**71,50,000**

Notes to accounts

S. No.	Particulars		₹
1	**Share Capital**		
	Authorized, issued and subscribed capital:		
	Equity shares capital (fully paid-up shares of ₹ 10 each)		**10,00,000**
2	**Reserves and Surplus**		
	Profit and Loss A/c		1,25,000
	Revenue reserves	15,00,000	
	Less: Transfer to CRR	(2,50,000)	12,50,000
	Securities premium	2,50,000	
	Less: Utilization for share buy-back	(2,50,000)	–
	Capital Redemption Reserves		2,50,000
	Total		**16,25,000**
3	**Long term borrowings**		
	14% Debentures		18,75,000
	Unsecured Loans		10,00,000
	Total		**28,75,000**
4	**Property, plant and equipment**		
	Land and Building		19,30,000
	Plant and machinery		18,00,000
	Furniture and fitting		9,20,000
	Net carrying value		**46,50,000**

Working Note:

Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

Suppose amount transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then,

(31,25,000 – x) – 22,62,500 = y (1)

(y/20) x 10 = x or 2x = y (2)

by solving the above equation, we get

x = ₹ 2,87,500

y = ₹ 5,75,000

Question 10

SMM Ltd. has the following capital structure as on 31st March, 20X1: **₹ in crore**

	Particulars	Situation I	Situation II
(i)	Equity share capital (shares of ₹ 10 each)	1,200	1,200
(ii)	Reserves:		
	General Reserves	1,080	1,080
	Securities Premium	400	400
	Profit & Loss	200	200
	Infrastructure Development Reserve (Statutory Reserve)	320	320
(iii)	Loan Funds	3,200	6,000

The company has offered buy-back price of ₹ 30 per equity share. You are required to calculate maximum permissible number of equity shares that can be bought back in both situations and also required to pass necessary Journal Entries.

Answer

Statement determining maximum number of shares to be bought back **No. of shares (in crores)**

Particulars	When loan fund is	
	₹ 3,200 crores	₹ 6,000 crores
Shares Outstanding Test (W.N.1)	30	30
Resources Test (W.N.2)	24	24
Debt Equity Ratio Test (W.N.3)	32	Nil
Maximum number of shares that can be bought back [least of above]	**24**	**Nil**

Journal Entries for the Buy-Back (applicable only when loan fund is ₹ 3,200 crores) **₹ in crores**

	Particulars		Debit	Credit
(a)	Equity shares buy-back account	Dr.	720	
	To Bank account			720
	(Being payment for buy-back of 24 crore equity share of ₹ 10 each @ ₹ 30 per share)			
(b)	Equity shares capital account	Dr.	240	
	Premium Payable on buy-back account		480	
	To Equity share buy-back account			720

	(Being cancellation of shares bought back)			
(c)	Securities Premium account	Dr.	400	
	General Reserve	Dr.	80	
	To Premium Payable on buy-back account			480
	(Being Premium Payable on buy-back account charged to securities premium and general reserve A/c)			
(d)	General Reserve	Dr.	240	
	To Capital redemption reserve account			240
	(Being transfer of free reserves to capital redemption reserve to extent of nominal value of share capital bought back out of redeemed through free reserves)			

Working Notes:

1. **Shares Outstanding Test**

Particulars	**(Shares in crores)**
Number of shares outstanding	120
25% of the shares outstanding	30

2. **Resources Test**

Particulars	
Paid up capital (₹ in crores)	1,200
Free reserves (₹ in crores) (1,080 + 400 + 200)	1,680
Shareholders' funds (₹ in crores)	2,880
25% of Shareholders fund (₹ in crores)	₹ 720 crores
Buy-back price per share	₹ 30
Number of shares that can be bought back	24 crores shares

3. **Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back**

Particulars		**When loan fund is**	
		₹ 3,200 crores	**₹ 6,000 crores**
(a)	Loan funds (₹)	3,200	6,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹) (a/2)	1,600	3,000
(c)	Present equity shareholders fund (₹)	2,880	2,880
(d)	Future equity shareholders fund (₹) (see W.N.4)	2,560 (2,880 – 320)	N.A.
(e)	Maximum permitted buy-back of Equity (₹) [(d) – (b)]	960	Nil
(f)	Maximum share that can be bought back @ ₹ 30 per share	32 crore shares	Nil
(g)	As per provisions of the Companies Act, 2013, company	Qualifies	Does not Qualify

4. **Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method**

Suppose amount transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then,

Equation 1:

(Present Equity – Transfer to CRR) – Minimum Equity to be maintained = Maximum Permitted Buy-Back

(2,880 – x) – 1,600 = y

1,280 – x = y (1)

Equation 2:

(Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of the shares bought back to be transferred to CRR

y/30 x 10 = x

3x = y (2)

by solving the above two equations we get

x= ₹ 320 and y = ₹ 960

Question 11

Perrotte Ltd. (a non-listed company) has the following Capital Structure as on 31.03.20X1:

	Particulars		(₹ in crores)
(1)	Equity Share Capital (Shares of ₹ 10 each fully paid)		330
(2)	Reserves and Surplus:		
	General Reserve	240	–
	Securities Premium Account	90	–
	Profit & Loss Account	90	–
	Infrastructure Development Reserve	180	600
(3)	Loan Funds		1,800

The Shareholders of Perrotte Ltd., on the recommendation of their Board of Directors, have approved on 12.09.20X1 a proposal to buy-back the maximum permissible number of Equity shares considering the large surplus funds available at the disposal of the company.

The prevailing market value of the company's shares is ₹ 25 per share and in order to induce the existing shareholders to offer their shares for buy-back, it was decided to offer a price of 20% over market.

You are also informed that the Infrastructure Development Reserve is created to satisfy Income-tax Act requirements.

You are required to compute the maximum number of shares that can be bought back in the light of the above information and also under a situation where the loan funds of the company were either ₹ 1,200 crores or ₹ 1,500 crores.

Assuming that the entire buy-back is completed by 09.12.20X1, show the accounting entries in the company's books in each situation.

Answer

Statement determining the maximum number of shares to be bought back **Number of shares**

Particulars	When loan fund is		
	₹ 1,800 crores	₹ 1,200 crores	₹ 1,500 crores
Shares Outstanding Test (W.N.1)	8.25	8.25	8.25
Resources Test (W.N.2)	6.25	6.25	6.25

Debt Equity Ratio Test (W.N.3)	Nil	3.75	Nil
Maximum number of shares that can be bought back [least of the above]	**Nil**	**3.75**	**Nil**

Journal Entries for the Buy-Back (applicable only when loan fund is ₹ 1,200 crores) **₹ in crores**

S. No.	Particulars		Debit	Credit
(a)	Equity share buy-back account	Dr.	112.5	
	To Bank account			112.5
	(Being buy-back of 3.75 crores equity shares of ₹ 10 each @ ₹ 30 per share)			
(b)	Equity shares capital account	Dr.	37.5	
	Securities premium account	Dr.	75	
	To Equity share buy-back account			112.5
	(Being cancellation of shares bought back)			
(c)	General reserve account	Dr.	37.5	
	To Capital redemption reserve account			37.5
	(Being transfer of free reserves to capital redemption reserve to extent of nominal value of share capital bought back out of redeemed through free reserves)			

Working Notes:

1. Shares Outstanding Test

Particulars	(Shares in crores)
Number of shares outstanding	33
25% of the shares outstanding	8.25

2. Resources Test

Particulars	
Paid up capital (₹ in crores)	330
Free reserves (₹ in crores)	420
Shareholders' funds (₹ in crores)	**750**
25% of Shareholders fund (₹ in crores)	₹ 187.5 crores
Buy-back price per share	₹ 30
Number of shares that can be bought back (₹ 187.5 crores/₹ 30)	6.25 crores shares

3. Debt Equity Ratio Test

	Particulars	When loan fund is		
		₹ 1,800 crores	₹ 1,200 crores	₹ 1,500 crores
(a)	Loan funds (₹ in crores)	1,800	1,200	1,500
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹ in crores)	900	600	750
(c)	Present equity shareholders fund (₹ in crores)	750	750	750
(d)	Future equity shareholder fund (₹ in crores) (See Note 2)	N.A.	712.5 (750 – 37.5)	N.A.

(e)	Maximum permitted buy-back of Equity (₹ in crores) [(d) – (b)] (See Note 2)	Nil	112.5 (by equation)	Nil
(f)	Maximum number of shares that can be bought back @ ₹ 30 per share (shares in crores) (See Note 2)	Nil	3.75 (by equation)	Nil

Note:

1. Under Situations 1 & 3 the company does not qualify for buy-back of shares as per the provisions of the Companies Act, 2013.

2. As per section 68 of Companies Act, 2013, ratio of debt owed by company should not be more than twice the capital and its free reserve after such buy-back. In the question, it is stated that company has surplus funds to dispose of. Therefore, it is presumed that buy-back is out of free reserves or securities premium and hence a sum equal to the nominal value of the share bought back shall be transferred to Capital Redemption Reserve (CRR). Utilization of CRR is restricted to issuance of fully paid-up bonus shares only. It means CRR is not available for distribution as dividend. Hence, CRR is not a free reserve. Therefore, for calculation of future equity i.e. share capital and free reserves, amount transferred to CRR on buy-back has to be excluded from present equity.

   Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method.

   Suppose amount equivalent to nominal value of bought back shares transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y'. Then,

   Equation 1:

   (Present equity – Nominal value of buy back transfer to CRR) – Minimum equity to be maintained = Maximum permissible buy back of equity

   (750 – x) – 600 = y

   Since, 150 – x = y (1)

   Equation 2:

   (Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of share bought back to be transferred to CRR

   (y/30) x 10 = x

   Or, 3x = y (2)

   by solving the above two equations we get

   x = ₹ 37.5 crores

   y = ₹ 112.5 crores

Question 12

Mohan Ltd. furnishes the following summarised Balance Sheet on 31st March 20X1.

	(₹ in Lakhs)
Equity and liabilities	
Shareholders fund	
Share Capital:	

Equity Shares of ₹ 10 each fully paid up		780
6% Redeemable Preference shares of ₹ 50 each fully Paid up		240
Reserves and Surplus:		
Capital Reserves		58
General Reserve		625
Securities Premium		52
Profit & Loss		148
Revaluation Reserve		34
Infrastructure Development Reserve		16
Non-current liabilities		
7% Debentures		268
Unsecured Loans		36
Current Liabilities		395
	Total	**2,652**
Assets		
Non-current Assets		
Plant and Equipment less depreciation		725
Investment at cost		720
Current Assets		1,207
	Total	**2,652**

Other Information:

(1) The company redeemed preference shares at a premium of 10% on 1st April, 20X1.

(2) It also offered to buy back the maximum permissible number of equity shares of ₹ 10 each at ₹ 30 per share on 2nd April 20X1.

(3) The payment for the above was made out of available bank balance, which appeared as a part of the current assets.

(4) The company had investment in own debentures costing ₹ 60 lakhs (face value ₹ 75 lakhs). These debentures were cancelled on 2nd April 20X1.

(5) On 4th April 20X1 company issued one fully paid-up equity share of ₹ 10 each by way of bonus for every five equity shares held by the shareholders.

You are required to:

(a) Calculate maximum possible number of equity shares that can be bought back as per the Companies Act, 2013 and

(b) Record the Journal Entries for the above-mentioned information.

Answer

(a) Statement determining the maximum number of shares to be bought back

Particulars	**No. of shares (in lakhs)**
Shares Outstanding Test (W.N.1)	19.5
Resources Test (W.N.2)	11.175

Debt Equity Ratio Test (W.N.3)	29.725
Maximum number of shares that can be bought back [least of the above]	**11.175**

Thus, the company can buy 11,17,500 Equity shares at ₹ 30 each.

Working Notes:

1. Shares Outstanding Test

Particulars	**(Shares in lakh)**
Number of shares outstanding	78
25% of the shares outstanding	19.5

2. Resources Test

Particulars	
Paid up capital (₹ in lakh)	780
Free reserves (₹ in lakh) (625 + 52 + 148 – 24 – 240)*	561
Shareholders' funds (₹ in lakh)	1,341
25% of Shareholders fund (₹ in lakh)	335.25
Buy-back price per share	30
Number of shares that can be bought back (in lakh)	11.175

*Amount transferred to CRR is excluded from free reserves. Premium on redemption also reduced.

3. Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back

	Particulars	**in lakh**
(a)	Loan funds (₹) (268 + 36)	304
(b)	Minimum equity to be maintained after buy-back in ratio of 2:1 (₹) (a/2)	152
(c)	Present equity shareholders fund (₹)	1,341
(d)	Future equity shareholders fund (₹) (see W.N.4) (1,341 – 297.25)	1,043.75
(e)	Maximum permitted buy-back of Equity (₹) [(d) – (b)]	891.75
(f)	Maximum number of shares that can be bought back @ ₹ 30 per share	29.725
	As per the provisions of the Companies Act, 2013, company	Qualifies

4. Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method

Suppose amount transferred to CRR is 'x' and maximum permitted buy-back of equity is 'y'. Then,

Equation 1:

(Present Equity – Transfer to CRR) – Minimum Equity to be maintained = Maximum Permitted Buy Back

= (1341 – x) – 152 = y

= 1189 – x = y (1)

Equation 2:

(Maximum buy back/Offer price for buy back) x Nominal Value = Nominal value of share bought back to be transferred to CRR

y/30 x 10 = x or 3x = y (2)

by solving the above two equations we get

x = ₹ 297.25 and y = ₹ 891.75

(b) **Journal Entries for Buy Back** **(₹ in lakhs)**

Date	Particulars		Debit	Credit
20X1	6% Redeemable preference share capital A/c	Dr.	240	
1st April	Premium on redemption of preference shares A/c	Dr.	24	
	To Preference shareholders A/c			264
	(Being preference share capital transferred to shareholders account)			
	Preference shareholders A/c	Dr.	264	
	To Bank A/c			264
	(Being payment made to shareholders)			
	General Reserve A/c	Dr.	24	
	To Premium on redemption of preference shares A/c			24
	(Being redemption premium adjusted through securities premium)			
2nd April	Equity shares buy-back A/c	Dr.	335.25	
	To Bank A/c			335.25
	(Being 11.175 lakh shares of ₹ 10 each bought back @ ₹ 30 per share)			
	Equity share capital A/c	Dr.	111.75	
	Securities Premium A/c	Dr.	52	
	General Reserve A/c	Dr.	171.50	
	To Equity Shares buy-back A/c			335.25
	(Being cancellation of shares bought back)			
	General reserve A/c	Dr.	351.75	
	To Capital redemption reserve A/c [240 + 111.75 lakhs]			351.75
	(Being creation of capital redemption reserve account to the extent of the face value of preference shares redeemed and equity shares bought back as per the law)			
2nd April	7% Debentures A/c	Dr.	75	
	To Investment (own debentures) A/c			60
	To Profit on cancellation of own debentures A/c			15
	(Being cancellation of own debentures costing ₹ 60 lakhs, face value being ₹ 75 lakhs and balance is profit on cancellation of debentures)			
4th April	Capital Redemption Reserve	Dr.	133.65	
	To Bonus Shares A/c			133.65
	(Being issue of one bonus share for every five equity shares held)			
	Bonus shares A/c	Dr.	133.65	
	To Equity share capital A/c			133.65
	(Being bonus shares issued)			

Note: Bonus Share to be issued = 66.825 (78 – 11.175) lakh shares divided by 5 = 13.365 lakh shares